

Tesla, Inc.
TSLA NASDAQ

Hold	\$354.16 ▼ 0.92%	12M Price Target \$385.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.40T
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TSLA: Sliding on EV Credit Sunset Fears, Delivery Jitters

WHAT HAPPENED

- TSLA is down ~7% in the last 5 trading days on no company-specific news — that tells you this is macro/policy-driven, not a Tesla story. The whole Consumer Discretionary sector is off 2.75% for the week, so Tesla is getting swept along, but it's underperforming even that.
- Options desks are lit up with aggressive put buying at \$350–\$355 strikes (some 25x the normal open interest) — big money is either hedging or actively betting on more downside into the Q3 delivery print in early October.

WHY IT MATTERS

Here's what I think is really going on: the \$7,500 federal EV tax credit expired at the end of September, and Tesla pulled forward a TON of demand into Q3 as buyers rushed to lock in the credit. That means Q3 deliveries (reported next week) could look great — but Q4 is going to be a cliff, and the smart money is positioning for that reality check. The put flow at exactly the \$350–\$355 strikes isn't random; those are traders betting the stock breaks lower on either the delivery guide or the earnings call. Add in the CFO quietly selling ~\$940K of stock three weeks ago, and you've got a setup where nobody wants to be the hero catching the falling knife before Q4 guidance.

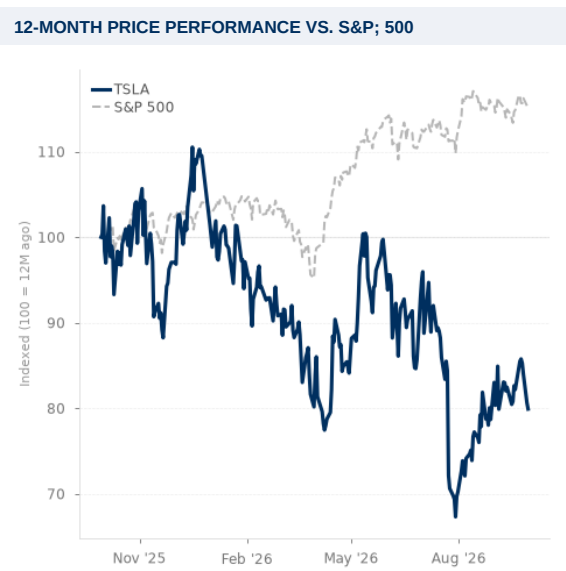
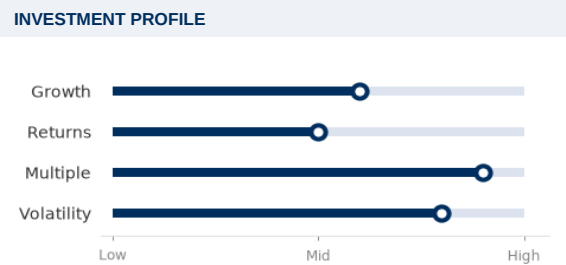
POLICY & POLITICAL WATCH

The big one just happened: the federal EV tax credit (part of the old Inflation Reduction Act) sunset on September 30 under the current administration's rollback — this is a direct headwind because it effectively raises Tesla's sticker price by \$7,500 overnight for U.S. buyers. Watch two things next: (1) whether Congress attaches any EV-related provisions to the year-end spending package — unlikely under this administration, but a partial extension for domestic-manufactured EVs would be a lifeline, and (2) NHTSA's ongoing review of Full Self-Driving, where a friendlier regulatory posture toward autonomous vehicles is actually the real bull case here since robotaxi is what justifies the premium multiple. Trade policy on Chinese battery components is also a wild card — more tariffs help Tesla vs. BYD but hurt their input costs.

IS IT EXPENSIVE?

At \$354, TSLA trades around 150x next year's earnings — meaning investors are paying \$150 for every \$1 of profit the company is expected to make in 2027. That's insanely expensive for a car company (Ford trades at ~7x), so you're only buying this if you believe the robotaxi and Optimus robot stories are real and worth hundreds of billions. The stock is at just 28% of its 52-week range, which sounds cheap, but the multiple is still nosebleed — so "cheap" here really means "less overvalued than last month."

Key Data	
Price (USD)	\$354.16
12M Price Target	\$385.00
Upside / (Downside)	+8.7%
Market Cap	\$1.40T
FY2026E Revenue	\$118M
FY2027E Revenue	\$142M
FY2026E EPS	\$2.35
FY2027E EPS	\$3.10
Fwd P/E	150.7x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$385.00	\$355.00	\$325.00
6 Months	\$450.00	\$380.00	\$300.00
1 Year	\$500.00	\$385.00	\$280.00
2 Years	\$620.00	\$425.00	\$250.00
5 Years	\$900.00	\$550.00	\$220.00
10 Years	\$1500.00	\$750.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+0.98%) — classic defensive rotation, meaning investors are getting nervous and hiding in boring dividend payers. That's a risk-off signal.

COOLING OFF: Real Estate (-2.99% week), Cons. Disc. (-2.75% week) — rate-sensitive and consumer-facing sectors are getting hit, suggesting the market is worried about consumer spending and a "higher for longer" rate environment.

ROTATION WATCH: Money is quietly moving out of growth/consumer names into defensives — that's a headwind for Tesla specifically because it sits at the intersection of expensive growth AND consumer discretionary.

RELATED PLAY: If you like the autonomy theme but hate Tesla's multiple, look at the chip suppliers (NVDA for AI compute, MBLY for ADAS) — they benefit from the same trend without the single-CEO risk.

WHO'S WINNING IN THIS SPACE?

- GM (General Motors): Winning because it's cheap, profitable, and less exposed to the EV credit expiration since its EV mix is smaller.
- RIVN (Rivian): Actually holding up better than TSLA recently on VW partnership progress and truck demand staying resilient.

TSLA CONTEXT: Tesla is LAGGING its auto peers this week, which is unusual — normally it moves on its own narrative. That tells me the market is treating this as a "sell the news" setup into deliveries, not a Tesla-specific bull story right now.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously neutral. Long-term story intact, but near-term setup is unfavorable and I don't chase into known catalysts.

POSITION SIZE: 2-4% max. Tesla can move 10% in a day on a tweet — you don't want this to be the position that decides your year.

ENTRY POINTS: I'd wait for \$310-330, which is where the stock found support earlier this year. Buying here at \$354 with put flow this heavy is fighting the tape.

TIME HORIZON: 12-24 months. The catalyst you're really waiting for is robotaxi hitting 5+ major cities with actual revenue — that re-rates the stock.

WHEN TO BAIL: If Q4 auto gross margins drop below 15% OR Musk announces another major distraction (new company, political drama that hurts the brand further), trim aggressively.

HEDGING: Simplest move — if you own it, sell some covered calls at \$400 to collect income while it churns. That basically pays you to wait.